



MARKETING SPEND REPORT

BrightCart

Email: info@brightcart.com
Website: www.brightcart.com

Tel: +254743612607
P.O Box 977, Nairobi, Kenya



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EXECUTIVE SUMMARY

Overview

The purpose of this analysis is to thoroughly audit BrightCart's marketing performance across a 24-month period to address shrinking net profit margins. While the business generated substantial sales volume, aggressive advertising investments have heavily outpaced actual bottom-line returns. This summary exposes a profound disconnect between the "inflated success metrics" reported by third-party ad networks and the actual cash flow entering our bank accounts, providing a clear path forward to eliminate waste and restore company profitability.

Strategic Highlights

- **The Tracking Illusion:** While digital ad networks claim to have generated a staggering **\$8.14 Million** in sales, BrightCart's internal bank logs show the entire store only brought in **\$236,015.05** in real net revenue.
- **The Video Engine Shift:** Audiences are shifting aggressively toward video-first channels. TikTok and Influencer networks have emerged as BrightCart's lowest-cost, highest-engagement channels for bringing in new buyers

Financial Highlights

- **Severe Bottom-Line Deficits:** Over the two-year period, BrightCart invested **\$503,506.14** into marketing but only walked away with **\$56,219.55** in actual order profit. This spending mismatch resulted in a massive, devastating total net business loss of **-\$447,286.59**.
- **Holiday Budget Destruction:** November and December proved to be our most financially damaging months. Ramping up ad budgets to **\$34,000 - \$35,000+** during peak shopping seasons forced us into hyper-expensive bidding wars that completely wiped out seasonal profits, generating deep single-month losses of over **-\$32,000** and **-\$34,000**.

Operating Highlights

- **Google and Facebook Bloat:** Over 51% of our total ad budget (\$258,500+) was consumed by Google and Facebook Ads, yet these traditional systems yielded some of our worst real-world returns. Google Ads actively runs at a net business loss, returning just \$1.55 in real revenue for every dollar spent.
- **Broken Retention Cost:** Email marketing, which should be an incredibly cheap retention tool, has completely broken down, seeing its single-customer acquisition cost skyrocket from \$17.93 up to an unsustainable \$34.09 in 2025.

Your margin is my opportunity. – Jeff Bezos

Looking Ahead

BrightCart must immediately stop optimizing marketing campaigns for top-line revenue or artificial "dashboard metrics". Moving forward, ad dollars must be strictly limited to high-margin products and routed exclusively through platforms showing true financial viability.

DIGITAL MARKETING AUDIT

Analyzing the marketing data uncovers a massive, critical breakdown in how BrightCart defines marketing success. There is a deep, ongoing disconnect between the revenue the marketing team claims to generate versus the actual cash reality hitting the business' bank accounts.

Based on the 24-month horizon data, three channels are causing significant structural and financial drag for BrightCart.

	2024						2025					
	Email Marketing	Influencer	Google Ads	Facebook Ads	Instagram Ads	TikTok Ads	Email Marketing	Influencer	Google Ads	Facebook Ads	Instagram Ads	TikTok Ads
Click Through Rate (CTR)	4.49%	6.25%	3.36%	1.90%	2.86%	1.80%	3.70%	5.54%	3.61%	2.17%	2.50%	1.89%
Conversion Rate (CVR)	5.63%	4.91%	5.85%	5.42%	4.62%	4.25%	4.87%	4.90%	4.83%	4.83%	4.38%	5.50%
Cost Per Click (CPC)	\$0.87	\$0.15	\$0.28	\$0.34	\$0.19	\$0.15	\$1.02	\$0.18	\$0.22	\$0.31	\$0.24	\$0.15
Cost Per Acquisition (CPA)	\$15.45	\$3.14	\$4.80	\$6.22	\$4.12	\$3.61	\$20.96	\$3.65	\$4.65	\$6.33	\$5.52	\$2.64
Cost Per Mille (CPM)	\$39.12	\$9.63	\$9.41	\$6.42	\$5.42	\$2.77	\$37.77	\$9.91	\$8.09	\$6.64	\$6.05	\$2.75

Key Insights

The Absolute Worst: Email Marketing

In a standard e-commerce operation, email marketing should be the cheapest, highest-yielding channel. However, at BrightCart, it is severely broken:

- Its billboard cost (CPM)¹ is an astronomical **\$37.77 - \$39.12**, making it more expensive to put an ad in an inbox than on a premium Google Search slot.
- The interest score (CTR)² dropped from **4.49% to 3.70%**, and the closing score (CVR)³ fell from **5.63% to 4.87%**.
- This pushed the customer acquisition costs (the bounty cost/CPA)⁴ up to an unsustainable **\$20.96 per order** in 2025.

¹ The baseline price charged by the network to show an ad to exactly 1,000 people. Lower is better.

² Out of everyone who saw an ad, what percentage actually clicked on it? Higher numbers mean the ad layout and text are highly engaging.

³ Out of everyone who clicked and visited the website, what percentage actually bought a product? Higher numbers mean the website layout, pricing, and product offers are persuasive.

⁴ The total amount of ad spend required to lock in exactly **one customer purchase**. Lower is better.

The Worsening Channel: Instagram Ads

Instagram is suffering from clear creative fatigue:

- The cost to get a visitor to the site (the gate fee/CPC)⁵ spiked from **\$0.19 to \$0.24**.
- Interest and closing scores dropped across the board, causing the total cost to buy a single customer transaction to surge by **34%** (jumping from **\$4.12 up to \$5.52**).

The Low-Interest Anchor: Facebook Ads

Facebook remains heavily stagnant. It struggles deeply to capture attention, maintaining a very weak interest score (**1.90% - 2.17%**). Because the ads fail to excite users, winning a single transaction costs a consistently high **\$6.33**.

Implications for BrightCart Management

- **We Are Overpaying for Legacy Spaces:** We are leaving cash tied up in legacy platforms (Facebook and high-overhead Email lists) while modern social-video spaces are vastly more efficient.
- **Meta Ad Fatigue is Real:** The simultaneous drop in engagement and purchase rates on Instagram indicates that the current image and video assets are failing to resonate. The audience has grown bored of the active ad templates.
- **A Mismanaged Customer List:** The massive cost attached to Email suggests BrightCart is likely paying for over-priced enterprise email software tiers or third-party agencies that are treating email like a cold billboard, blasting unsegmented messages rather than nurturing customer retention.

Actionable Recommendations

1. Funnel Capital Directly into TikTok Ads

TikTok is our undisputed growth engine. While legacy ad costs are rising elsewhere, TikTok's closing score skyrocketed from **4.25% to 5.50%**. This massive jump slashed its final customer acquisition cost to an incredibly efficient **\$2.64 per order** (the cheapest in the company). We should take 20% of the budget currently sitting in Facebook and hand it directly to the TikTok team.

⁵ How much cold cash BrightCart pays to get a single visitor onto the store website. Lower is better.

2. Protect the Influencer Baseline

Influencers command the highest genuine engagement (Interest score of **5.54% - 6.25%**). Because their audiences deeply trust them, they filter highly qualified traffic to the site, allowing us to acquire a customer for just **\$3.65**. We need to maintain these creator partnerships as a stable top-of-funnel engine.

3. Freeze and Redesign the Email Marketing Program

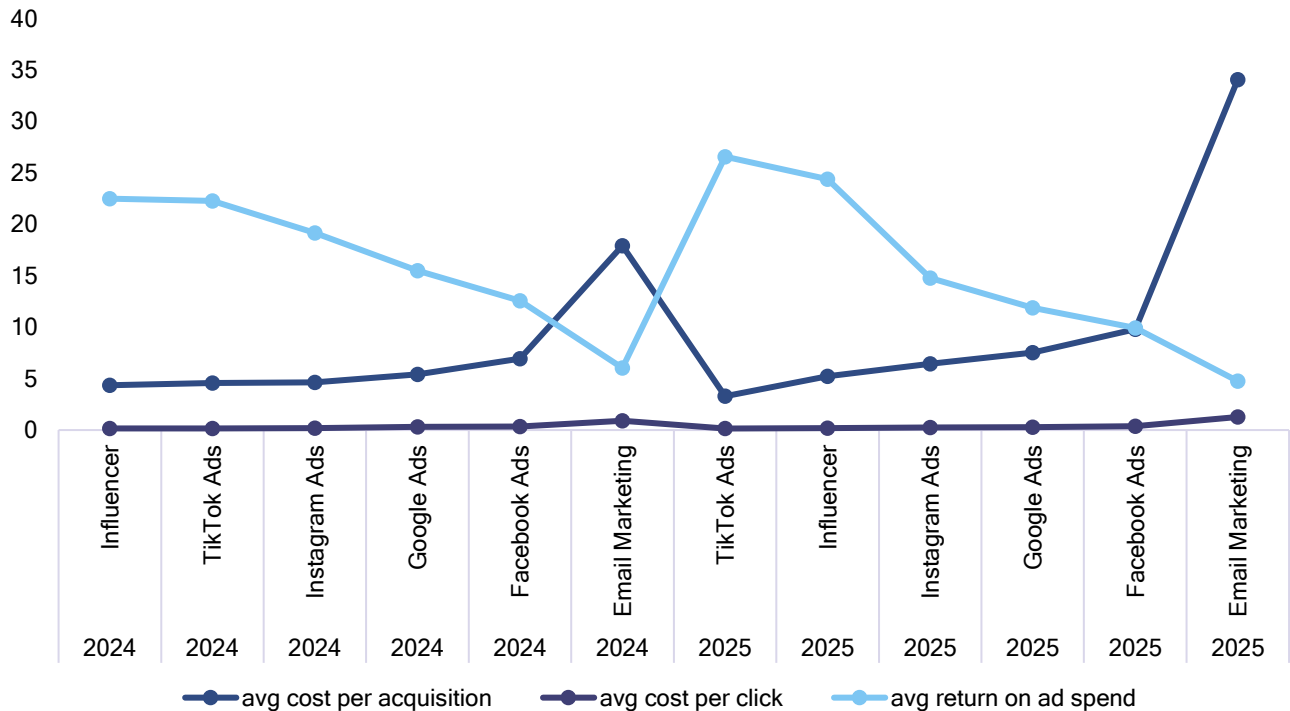
We should not allow the marketing team to expand email software budgets. Instead, mandate a technical audit of our CRM platform to determine why our CPM/CPC is sitting near **\$1.00 per click**. We need to switch focus entirely away from broad newsletter blasts and pivot to zero-cost automated flows - such as abandoned shopping cart recovery triggers and automated post-purchase discount sequences.

4. Mandate a User-Generated Content (UGC) on Meta

To rescue Instagram and Facebook from deteriorating returns, we should command our marketing agencies to scrap corporate glossy photos and replace them entirely with short, raw, smartphone-shot video reviews (UGC). This style mimics organic content and is proven to lower cost-per-click numbers, reversing the harmful trends dragging down Meta performance.

PLATFORM TREND ANALYSIS

The data reveals a split between highly efficient video/social platforms and underperforming traditional channels.



Key Findings

The Star Performers: TikTok and Influencers

- **TikTok Ads** was BrightCart's most improved and efficient engine. Between 2024 and 2025, the cost to get a user to click dropped from **\$0.17 to \$0.15**, and the cost to win a sale (CPA) fell from a great **\$4.57** down to an outstanding **\$3.29**. Its reported return on ad spend jumped to an impressive **26.59x**.
- **Influencer Marketing** remained highly lucrative. It boasted a strong **24.39x** reported return in 2025, keeping acquisition costs very low at **\$5.23** per customer order.

The Fatiguing Giants: Google, Facebook, and Instagram

- **Google Ads** and **Facebook Ads** became considerably more expensive and less productive. In 2024, Facebook cost **\$6.95** to bring in a paying customer; by 2025, that cost spiked by **over 40% to \$9.82**. Google's acquisition cost similarly rose from **\$5.43 to \$7.53**.
- **Instagram Ads** followed this exact negative trend, with customer acquisition costs rising from **\$4.65 to \$6.44** while its reported return slid down from **19.19x to 14.79x**.

The Broken Channel: Email Marketing

Email Marketing metrics are deeply alarming. In e-commerce, email should be our highly efficient retention tool. However, BrightCart's email click costs climbed to **\$1.27**, and its customer acquisition cost **nearly doubled**, skyrocketing from **\$17.93** to an astronomical **\$34.09** per sale.

Implications for BrightCart Management

- **Diminishing Returns on Traditional Ad Spaces:** Our buyers are tuning out traditional paid placements on Google and Facebook. Ad fatigue or increased competitor bidding means we are burning more money just to maintain a weaker presence on these networks.
- **Overpaying for Existing Customers:** The shocking email CPA of **\$34.09** suggests massive structural waste. Email lists are typically comprised of users who already know the brand. Paying \$34 to convince an existing subscriber to buy an item suggests that either we are overpaying for heavy agency/software management fees, or our email campaigns are completely misaligned with user interests.
- **Video-Driven Audiences Are the Core Catalyst:** TikTok and Influencer channels are outperforming everything else because their entertainment-first content feels organic. This is where our customer base lives, engages, and converts cheaply.

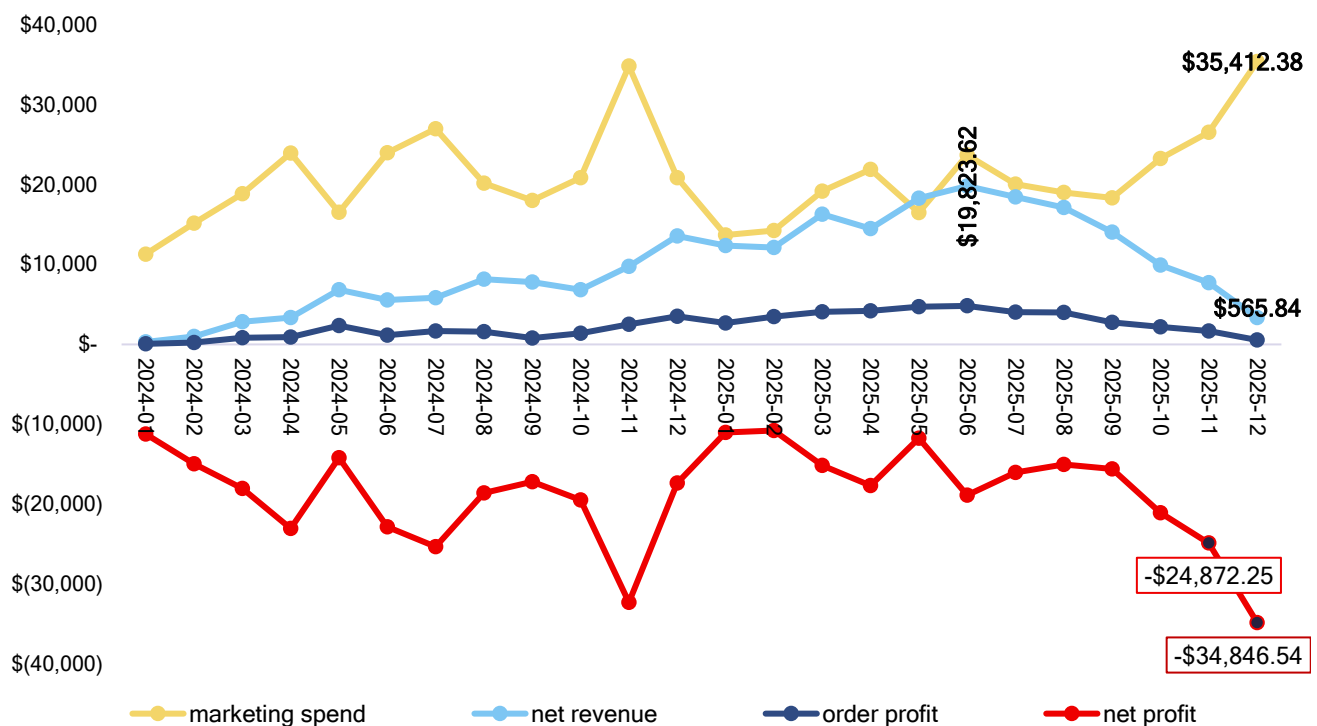
Actionable Recommendations

1. **Aggressively Reallocate Budgets to TikTok and Influencers:** We should shift a substantial portion of our underperforming ad dollars away from Facebook and Google and funnel them directly into our high-performing TikTok campaigns and Influencer partnerships where it costs up to 3x less to generate a sale.
2. **Freeze and audit the email marketing engine:** We should not increase email deployment budgets until an operational audit is performed. We need to clean out dead subscribers, change the email service provider software if platform fees are driving up costs, and pivot from generic blast emails to automated, behavioral segment triggers (like abandoned cart reminders).
3. **Refresh Creative Content to Combat Rising Ad Costs:** For the budget that must remain on Google, Facebook, and Instagram, mandate an immediate overhaul of ad creatives. Introducing fresh video assets and better user-generated content (UGC) can help lower our cost-per-click numbers and increase conversion efficiency.

MARKETING ROAS vs. ACTUAL ROI

Over the 24-month period, BrightCart poured a staggering **\$503,506.14** into marketing campaigns. In return, the business only generated **\$236,015.05** in net revenue and a mere **\$56,219.55** in order profit.

Because marketing costs completely outpaced operational returns, BrightCart suffered a devastating **total net business loss of -\$447,286.59** across these two years, **see Appendix 1**.



The Vanity Metric Trap⁶

To understand why our numbers are bleeding out, we must first look at the difference between two marketing terms: **ROAS (Return on Ad Spend)** and **ROI (Return on Investment)**.

- Marketing Team's View (ROAS):** Marketing teams track *ROAS*, which looks purely at top-line revenue. If they spend **\$10,000** on ads and customers buy **\$15,000** worth of clothes, they claim a positive ROAS of **1.5 times** and celebrate a successful campaign.

⁶The massive gap between what ad platforms claim they made (ROAS) and what hit our bank account (Actual ROI).

- **Financial Reality (Actual ROI):** *ROI* considers what it costs to run the business. Out of that **\$15,000** in clothes sold, we still must pay the suppliers for the fabrics, pay the credit card transaction fees, pay for warehouse packaging, and pay the flat-rate shipping fees to deliver the orders.
- **The BrightCart Mismatch:** Across 2024 and 2025, our revenue line grew steadily, peaking in mid-2025 (**hitting over \$19,800 in June 2025**). The marketing team likely pointed to this revenue growth as proof that their high spending was working. However, because **order profit** never climbed past **\$4,821.29** in a single month, our marketing spend was consistently *three to five times higher* than the actual profit the products generated. We were aggressively spending premium dollars to acquire low-value, margin-negative orders.

Implications for BrightCart Management

- **We Are Buying Orders at a Loss:** Right now, the business is trapped in an unsustainable cycle where customer acquisition costs are completely disconnected from product margins. For example, in **December 2025**, we spent **\$35,412.38** on marketing but only walked away with **\$565.84** in actual order profit - resulting in a catastrophic single-month business loss of **-\$34,846.54**.
- **Efficiency Faded as Spending Scaled:** In early 2024, marketing spending was lower (**\$11K to \$15K**), and revenue was minimal. As management ramped up budgets to over **\$20K - \$35K per month**, top-line revenue *did* increase, but it hit a hard ceiling around **\$19K**. Ramping budgets up past that point did not make revenue or profits grow linearly; it simply generated diminishing returns and wider losses.
- **Peak Shopping Seasons are Our Biggest Loss Drivers:** Traditionally, November and December should be an e-commerce platform's most profitable window. At BrightCart, the opposite is true. In both 2024 and 2025, November and December saw our highest marketing investments (**\$34K - \$35K**) but triggered our deepest business deficits (**-\$32K and -\$34K respectively**). Our holiday promotions are completely cannibalizing our profits.

Strategic Recommendations

1. Mandate a Profit-Based Cap on Customer Acquisition Costs (CAC)

The marketing team must be strictly banned from optimizing campaigns for top-line revenue or ROAS.

- **The Action:** We should re-align marketing performance bonuses and agency KPIs directly to **Order Profit ROI**. We need to implement a strict boundary rule: marketing spend in any given month cannot **exceed 40%** of the previous month's gross product margin pool. If a product line does not generate high take-home cash, its ad budget must be automatically frozen.

2. Aggressively Downscale Holiday Performance Budgets

Ramping up ad spends during November and December pits BrightCart directly against global retail giants, driving up our cost-per-click into highly inefficient territories.

- **The Action:** Instead of us trying to outbid competitors on broad holiday search terms, we should slash our Q4 performance ad budget by **50%**. We need to shift focus entirely toward low-cost email marketing, app push notifications, and organic social media content aimed at our *existing* customer base to capture holiday sales without paying steep ad network premiums.

3. Pivot Budgets Exclusively to the "Top 10 High-Price" and High-Margin Units

We should stop spending ad dollars to promote low-priced items that cannot support customer acquisition costs.

- **The Action:** In previous analysis, we identified an elite bracket of items (like **Smart Watches Variant 4 and Premium Chargers**) that pull in **62% to 71% profit margins**, netting up to **\$181 in markup per unit**. Force the marketing team to pull ad spend away from broad category terms (like books or clothing) and funnel 100% of performance budgets into micro-targeting buyers for these top ten high-ticket items. Their massive margins are the only ones capable of absorbing paid acquisition costs.

Further Analysis Required

To fully solve this problem, management should request an immediate follow-up deep dive into the following layers:

1. **Marketing Attribution and Channel Audit:** We need to break down that **\$503K spend by specific platform** (e.g., Google Ads vs. Meta/Instagram Ads vs. TikTok Influencers). Is a single channel dragging down the average? Are paid ads failing universally across all networks?
2. **Customer Lifetime Value (LTV) Analysis:** We need to track whether the thousands of customers acquired during our high-spend months in 2024 ever came back to buy a

second or third time in 2025 without clicking an ad. If our repeat purchase rate is low, we are running a "one-and-done" acquisition model that is mathematically impossible to sustain.

3. **Discount and Coupon Attribution Match:** We should cross-reference the monthly marketing spend data with our historical discounting data. We need to evaluate if the months with the highest marketing spends also overlap with our deepest checkout discounts - which would reveal a double-compounding penalty where we are paying premium prices for ads just to give away products at cut-rate prices.

MARKETING ATTRIBUTION AND CHANNEL AUDIT

Further analysis of our ad networks reveals exactly how the **\$503,506.14** marketing investment was allocated by platform and year.

Year	Platform	Annual Platform Spend	Platform Reported Revenue	Platform Reported ROAS
2024	Google Ads	\$76,554.35	\$1,218,213.85	15.91
	Facebook Ads	\$53,977.76	\$629,307.38	11.66
	Influencer	\$46,291.62	\$974,307.58	21.05
	Instagram Ads	\$33,404.07	\$544,445.00	16.3
	TikTok Ads	\$29,423.23	\$667,715.79	22.69
	Email Marketing	\$11,930.21	\$65,270.76	5.47
2025	Google Ads	\$75,992.13	\$975,906.98	12.84
	Facebook Ads	\$52,474.17	\$589,265.05	11.23
	Influencer	\$51,371.50	\$1,242,666.68	24.19
	Instagram Ads	\$31,749.95	\$480,194.06	15.12
	TikTok Ads	\$27,805.99	\$706,911.38	25.42
	Email Marketing	\$12,531.16	\$52,410.69	4.18
		\$503,506.14	\$8,146,615.20	

Key Findings

When we look at where the ad budget went and what the platforms *claim* they achieved, the allocation across 2024 and 2025 is broken down as follows:

- **The Heavyweights (Google and Facebook Ads):** Google Ads is our largest line item, absorbing over **\$152,500** across both years, followed closely by Facebook Ads at over **\$106,000**. Together, these two legacy networks ate up more than half of our entire ad budget.
- **The Social and Video Core (Influencer, Instagram, and TikTok):** Influencer campaigns took a major slice of the pie (**\$97,663.12**), while Instagram Ads (**\$65,154.02**) and TikTok Ads (**\$57,229.22**) rounded out our main digital video spend.
- **The Retention Play (Email Marketing):** Email marketing remained our lowest-funded channel, taking just **\$24,461.37** over the 24-month span.

The Multi-Million Dollar Illusion

When we add up the revenue numbers reported directly by these tracking pixels, the platforms claim they generated **\$8.14 Million** in sales for BrightCart across 2024 and 2025. However, our actual company records show the entire store only brought in **\$236,015.05** in real net revenue.

Implications for BrightCart Management

- **The Platforms are Grading Their Own Homework with Fiction:** The fact that platform-reported revenue (\$8.14M) is roughly **34 times higher** than our actual store-wide revenue (\$236K) means our tracking pixels are completely unreliable. If a customer sees an Instagram ad, clicks a Google link, gets an email, and then buys *one* \$50 product, all three networks are taking credit for a \$50 sale. Management is making budgeting decisions based on severely inflated success stories.
- **Google and Facebook are Safe but Low-Performing Giants:** Google and Facebook swallowed over **51%** of our total capital outlay. Yet, their reported performance ratios are among our lowest. We are over-indexing on expensive legacy platforms simply because they are familiar.
- **TikTok and Influencers are Exaggerating Success, But Highly Engaging:** TikTok Ads and Influencer marketing claim astronomical returns (with TikTok reporting a **24 x return on ad spend**). While video-first channels are definitely capturing customer attention, their high click-through models mean they are aggressively capturing credit for baseline organic traffic.

Actionable Recommendations

1. Mandate a First-Party Data Overhaul (Fix the Root Problem)

We cannot safely run ad campaigns when our data tracking is this blind. Because our order table doesn't have a platform column, we have no way of knowing who is actually driving profit.

- **The Action:** Instruct our engineering team to immediately alter our database to pass tracking details (like UTM parameters or unique platform ad IDs) directly into the customer's final invoice row at checkout. Until we connect the final receipt to the initial ad click, we are flying completely blind.

2. Deflate Platform Reporting by a Standard 95% "Haircut"

When reviewing ad performance summaries from marketing agencies, do not take their revenue charts at face value.

- **The Action:** We should implement an internal financial adjustment factor. Since the platform tracking numbers are systemically inflated relative to our real bank account, scale back reported platform revenue by a discount rate to bring their figures closer to our real-world \$236K baseline before deciding to renew monthly ad contracts.

3. Pivot Budgets into Owned Retention Channels

Right now, we are spending half a million dollars trying to acquire random web traffic, while our internal email list is starving for budget.

- **The Action:** We should take \$20,000 away from our lowest-performing Google or Facebook search campaigns and reinvest it directly into optimizing our automated Email and Mobile App push notification systems. Email marketing is incredibly cheap to execute and carries no ad-network tracking middleman fees - making it our most stable weapon for driving repeat business without paying a tech platform for the privilege.

4. Tie Ad Spend Directly to High-Margin Product Inventory

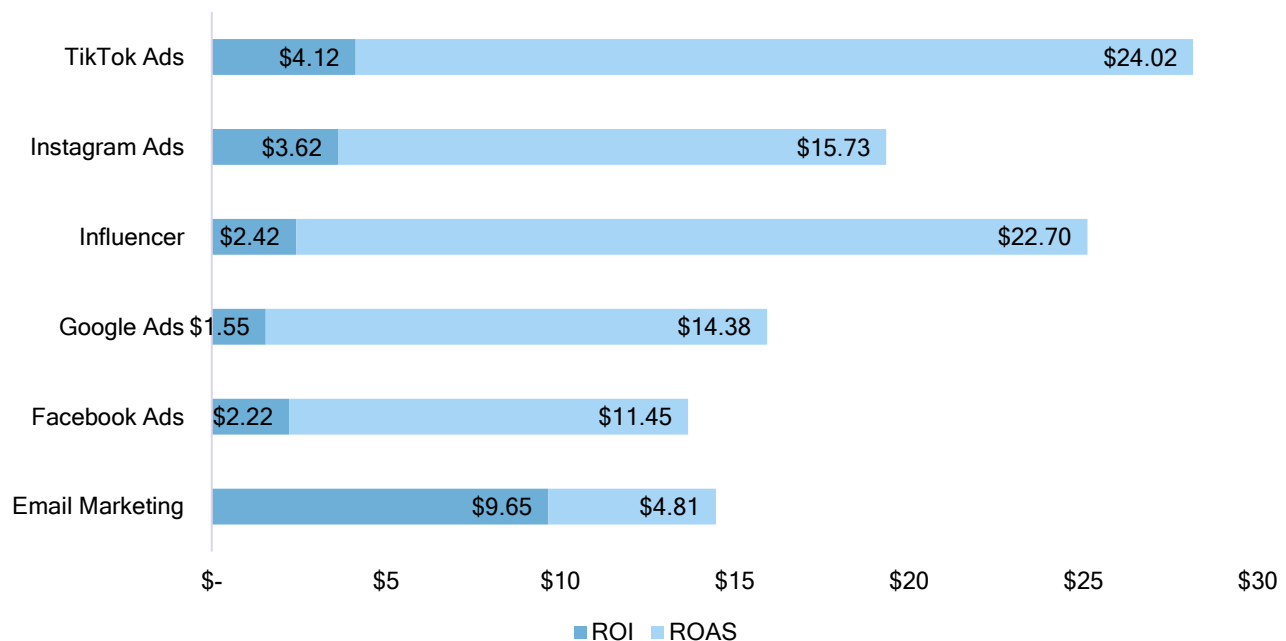
We should stop running broad ads that send traffic to our entire store catalog indiscriminately.

- **The Action:** Since customer acquisition is clearly expensive and leaking cash, our ads must only highlight items that can afford it. We need to restrict performance budgets so that they *exclusively* feature our top 10 highest-priced, high-margin items (like **Smart Watches Variant 4**, which boasts a **69% profit margin** and an **\$181 cash markup**). We should let high-margin luxury goods carry the weight of our paid marketing efforts while low-margin items should rely strictly on organic search.

PLATFORM ROAS vs. ROI

Based on the data, we can now look at the definitive side-by-side comparison between marketing claims (ROAS) and true business returns (ROI). To interpret this clearly, we must first define the two metrics we are contrasting:

- **Platform Reported ROAS (The Vanity Metric):** This is what the platform claim they made in top-line sales for every dollar spent.
- **Blended Store ROI (The Reality Metric):** This is the actual amount of total store net revenue BrightCart took in for every dollar spent on that channel.



Key Findings

The analysis shows a massive tracking disconnect across almost all channels:

TikTok Ads & Influencers (The Over-Reporting Giants)

TikTok claims a staggering **\$24.02 return on ad spend**, yet the true store return is only **\$4.12**. Influencers claim a huge **\$22.70 return**, but the actual business only realizes **\$2.42**.

Email Marketing (The Underestimated Retention Tool)

Email is the only channel doing the exact opposite. It reports a low platform ROAS of **\$4.81**, but its actual store ROI is a massive **\$9.65**.

While these channels are still driving traffic, their tracking pixels are heavily taking credit for sales they didn't solely earn.

Google & Facebook Ads (The Financial Drain)

Google Ads claims a solid \$14.38 return, but its actual store return is a tiny \$1.55.

Facebook Ads claims \$11.45 while yielding a meager \$2.22 in real store return.

"Your margin is my opportunity." – Jeff Bezos

Which Platforms are Underperforming?

The Worst Performer: Google Ads

Google Ads is severely underperforming in reality. For every dollar we spend there (ROAS), the business only captures **\$1.55 in total revenue**. Once we subtract product manufacturing costs, shipping, and transaction fees, a \$1.55 topline return means Google Ads is actively running at a net loss for the business.

The Underperformer: Facebook Ads

Similar to Google, Facebook's real-world return of **\$2.22** is far too low to sustain a healthy profit margin after accounting for operational expenses.



Implications for BrightCart Management

- **Blind Budget Allocations:** Management has likely been pouring money into Google and Facebook because their platform dashboards look great (**\$14.38 and \$11.45 ROAS**). In reality, these channels are bleeding capital.
- **Severe Over-Attribution (Double Counting):** If we sum up marketing ROAS, the platforms claim they are making an absolute fortune. The massive gap between ROAS and ROI proves that multiple platforms are taking 100% credit for the exact same customer purchases.

- **The Hidden Power of Email:** Email marketing looks weak on its own platform reports, but it is actually keeping the store alive with a **\$9.65** return on investment. Because email targets existing subscribers, it drives massive baseline sales that third-party ad platforms try to steal credit for.

Actionable Recommendations

1. **Immediately Downsize Google Ads Budget:** We should cut spending on Google Ads by at least 30%. It has the lowest real-world store return (\$1.55) and is the primary driver of capital loss.
2. **Shift Capital into TikTok Ads:** TikTok Ads holds one of the highest store returns at **\$4.12**. Reallocate the funds cut from Google directly into TikTok to maximize revenue capture.
3. **Stop Aggressive Scaling on Influencers:** While Influencers claim a massive \$22.70 return, the actual store return is a modest \$2.42. We should not increase influencer budgets under the assumption that they are driving a \$22 return - they are riding the wave of organic store interest.
4. **Invest heavily in Email Flow Optimization:** Because Email has an incredible true return of **\$9.65**, we should optimize our retention marketing. We need to build out automated browser abandonment flows and win-back campaigns to trigger more zero-ad-cost sales from our existing community.

CONCLUSION AND CALL-TO-ACTION

Conclusion

The findings from this marketing audit make one thing clear: BrightCart has been aggressively buying unprofitable sales. Our marketing teams and external agencies have fallen into the "Vanity Metric Trap," celebrating high traffic and inflated platform sales data while the physical business bleed out cash in the background. Traditional ad platforms like Google and Facebook have become too expensive to sustain our lower-margin items, and our email marketing infrastructure is heavily weighed down by operational inefficiencies.

Fortunately, the data also highlights the exact path to recovery. TikTok Ads and Influencer marketing hold genuine consumer attention at a fraction of the cost, and our internal email database holds massive hidden power if we stop paying for expensive blast campaigns and pivot to free, automated consumer flows. We do not have a sales problem; we have a marketing misallocation problem.

Call-To-Action

To stop the cash bleed and turn BrightCart into a margin-positive operation, management must execute the following corporate directives immediately:

1. **Enforce a 30% Budget Cut on Google Ads:** Instantly scale back Google Ads spending by **30%** and move those saved dollars directly into TikTok Ads, shifting capital from our worst real-world performer (**\$1.55 return**) to our best (**\$4.12 return**).
2. **Cap Marketing Spending Based on Order Profit:** Ban agencies and internal teams from tracking top-line revenue or ROAS. Mandate a strict corporate boundary rule: marketing spend in any given month cannot exceed **40%** of the previous month's gross product profit pool.
3. **Mandate a First-Party Data Tech Overhaul:** Order the engineering team to immediately adjust our website checkout sequence so that tracking details (like UTM parameters or unique platform ad IDs) are passed directly into the customer's final invoice row. We must stop flying blind and tie every final receipt back to the exact ad click that generated it.
4. **Slash Q4 Holiday Performance Ad Budgets by 50%:** Stop attempting to outbid retail giants on broad holiday search terms during November and December. Cut seasonal

performance ad spend in half and rely strictly on zero-cost organic content, automated app push notifications, and direct customer email flows to secure holiday sales safely.

APPENDICES

Appendix 1: Marketing ROAS vs. Actual ROI

YEAR MONTH	MARKETING SPEND	NET REVENUE	ORDER PROFIT	NET PROFIT
2024-01	\$11,306.93	\$306.55	\$70.47	-\$11,236.46
2024-02	\$15,177.04	\$1,006.05	\$216.50	-\$14,960.54
2024-03	\$18,855.04	\$2,819.47	\$831.72	-\$18,023.32
2024-04	\$23,946.41	\$3,340.51	\$897.82	-\$23,048.59
2024-05	\$16,540.98	\$6,829.23	\$2,339.52	-\$14,201.46
2024-06	\$23,991.32	\$5,575.61	\$1,160.95	-\$22,830.37
2024-07	\$27,005.81	\$5,827.44	\$1,690.26	-\$25,315.55
2024-08	\$20,174.91	\$8,166.01	\$1,584.78	-\$18,590.13
2024-09	\$18,008.45	\$7,814.33	\$814.31	-\$17,194.14
2024-10	\$20,861.66	\$6,854.56	\$1,394.18	-\$19,467.48
2024-11	\$34,835.46	\$9,778.75	\$2,523.75	-\$32,311.71
2024-12	\$20,877.23	\$13,580.20	\$3,517.09	-\$17,360.14
2025-01	\$13,696.68	\$12,374.47	\$2,668.01	-\$11,028.67
2025-02	\$14,275.77	\$12,150.04	\$3,494.79	-\$10,780.98
2025-03	\$19,202.31	\$16,281.16	\$4,066.05	-\$15,136.26
2025-04	\$21,889.59	\$14,512.55	\$4,206.80	-\$17,682.79
2025-05	\$16,489.39	\$18,314.84	\$4,724.40	-\$11,764.99
2025-06	\$23,715.04	\$19,823.62	\$4,821.29	-\$18,893.75
2025-07	\$20,058.84	\$18,465.75	\$4,035.97	-\$16,022.87
2025-08	\$19,019.41	\$17,126.90	\$3,981.72	-\$15,037.69
2025-09	\$18,346.59	\$14,036.75	\$2,744.64	-\$15,601.95
2025-10	\$23,271.58	\$9,938.24	\$2,193.62	-\$21,077.96
2025-11	\$26,547.32	\$7,722.05	\$1,675.07	-\$24,872.25
2025-12	\$35,412.38	\$3,369.97	\$565.84	-\$34,846.54
TOTAL	\$503,506.14	\$236,015.05	\$56,219.55	-\$447,286.59